

4 Steps to Building a Strong Investment Portfolio

A practical guide to asset allocation and portfolio management for investment teams featuring Morningstar Direct.



Building high-quality portfolios looks different for every investment team. At wealth management firms, these teams often focus on creating portfolios that align with client needs. Meanwhile, those at asset management firms tend to construct portfolios that reflect specific investment strategies. By understanding asset allocation and portfolio management best practices, it can be easier to make informed decisions and deliver optimal portfolios.

Our thorough guide offers unique tips and insights on key portfolio strategies, asset classes, diversification, rebalancing, and more.

Step 1: Evaluate Investment Objectives and Goals

Approach matters when it comes to portfolio construction. Identifying clear objectives and goals may help investment teams choose methods that fit best, leading them to streamline processes and improve portfolio performance.

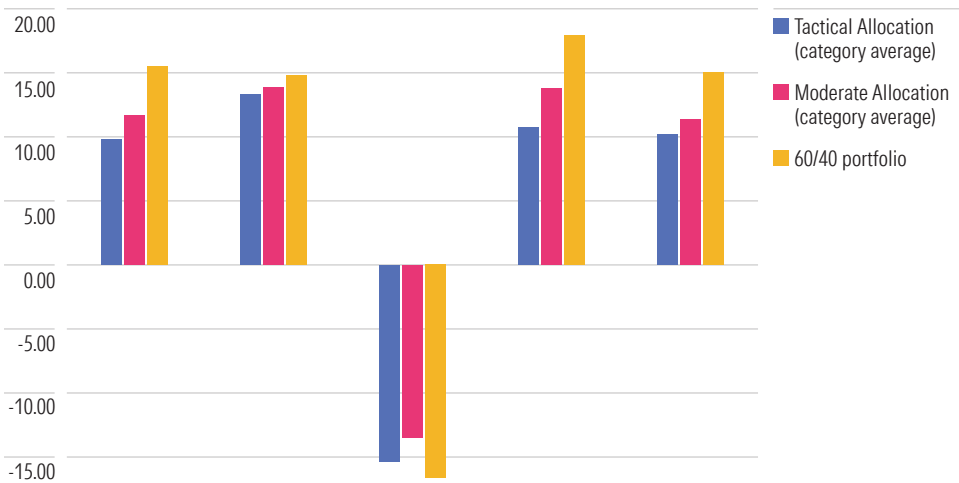
Key asset allocation approaches

Strategic asset allocation is a long-term approach that aligns portfolio construction with defined investment objectives, risk tolerance, and time horizons. While wealth managers may consider an investor’s financial goals and life events, asset managers create strategies for segments. Risk preferences can evolve over time—especially in response to market dynamics or changing mandates—but they generally remain stable anchors for portfolio strategy.

Considered a short-term approach, tactical asset allocation involves adjusting portfolio allocation based on market conditions. However, the average tactical asset-allocation fund has steadily underperformed—these funds have lagged by more than 2 percentage points per year compared against the average moderate-allocation fund and roughly twice that amount compared against a 60/40 portfolio.

Tactical asset-allocation funds have generated less returns compared to the average moderate-allocation fund and 60/40 portfolio.

Annual Total Return (%)



Source: Morningstar Research. Data as of June 30, 2024.

Portfolio management strategies to consider

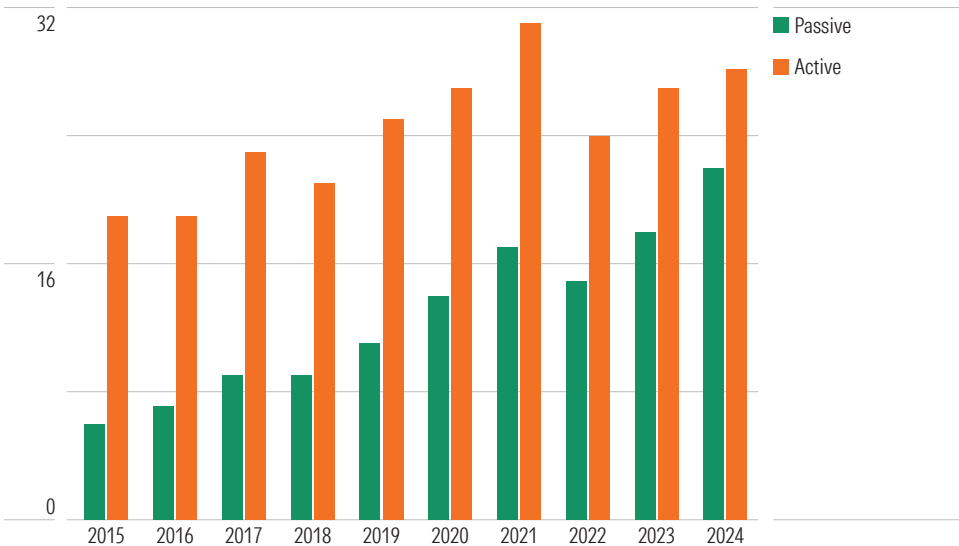
Choosing between active and passive funds to put in portfolios can be another challenge for investment teams at wealth management firms. On the other hand, striking the right balance between active and passive exposures is a key decision in multi-asset portfolio construction for teams at asset management firms.

Overall, passive investment strategies beat their active counterparts in 2024. This may not be surprising: Passive represents 43.50% of worldwide long-term assets, a 3.20% increase from year-end 2023. The category also grew 7.80% organically last year, its fourth-highest rate in the past decade.

While US long-term assets in passive strategies increased to 53% at the end of last year, the funds' share outside the US is only 29%. Many factors contribute to this disparity, including bank-dominated distribution, local regulation, and a secular preference for short-term fixed-income funds that are actively managed in countries like France. Still, it appears inevitable that global passive assets will overtake active in the future.

Passive may soon catch active globally. India and China are not included in this report finding.

Net Assets (USD Trillion)



Source: Morningstar Research. Data as of June 30, 2024.

But passive management isn't always the best option.

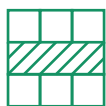
Here's where both active and passive funds have been more likely to perform:

Passive funds:



Large-cap funds

The US large-cap equity market has been a difficult place for active funds to succeed in the long run with just 7% of them surviving their average passive rival over the decade through December 2024. Similarly, active managers in the eurozone large-cap blend category struggled with only 15.70% beating their passive counterparts last year.



Mid-cap funds

Thirty-seven percent of active US mid-cap funds outpaced the average passive peer over the 12 months through 2024, a decline of 8 percentage points from one year earlier. European active managers also tend to achieve higher success rates within mid-cap equity categories, especially where the average passive counterpart exhibits a structure bias toward a particular economic sector or is concentrated on a few individual names.



Foreign equity funds

US active managers who weave global- or foreign-stock portfolios succeeded at a 37% clip in 2024, down 12 percentage points from 2023. Forty-three percent of these active managers in the foreign small/mid-blend category have also struggled to keep their funds on the market.



Emerging Markets

Underexposure to tech giants TSMC and Tencent has proved a common source of underperformance for many European active managers. In fact, 32.90% beat their passive peers in 2024—this goes down to 27.40% over five years and further down to 19.60% over 10 years.

Active funds:



Small-cap funds

More than 43% of active US small-cap strategies performed better than their average passive rival in 2024, a slight improvement over 2023. Long-term active success rates have been higher in the small-cap arena than those among large-cap funds, possibly explained by the small-cap market being relatively less efficiently priced. Relatedly, the 10-year success rate in the eurozone small-cap equity category was 35.90% compared to 33.30% for its US counterpart.



Real estate

Over the decade through 2024, 47% of US actively managed real estate funds beat their average passive peer. Success rates in the global real estate category fluctuate dramatically over shorter time horizons, owing to the diversity of funds within the category.



Money markets

The one-year success rate of European active managers in the EUR money market category stood at 78.70% in 2024 and remains around this high level on a three- and five-year basis, dropping to a still-high 42.90% on a 10-year horizon as the full effect of higher fees feeds through.



Fixed income

Forty-five percent outpaced their average US passive peer over the past decade. How investors attain exposure to fixed income is dependent to a degree on where the products are domiciled. Fixed-income funds domiciled in Europe, for example, had virtually no net flow, reflecting the preference of European clients for cross-border strategies.

Actively managed fixed-income had positive flows in every indicated region.

Geographic Region or Domicile	ETF Flow 2024 USD Bil	Open-end Flow 2024 USD Bil	Total Flow USD Bil	ETF Assets 2024 USD Bil	Open-end Assets 2024 USD Bil	Total Asset USD Bil
Africa	0	1	1	0	47	47
Asia	6	25	30	18	179	197
Canada	6	9	15	29	315	344
Cross-Border	2	154	156	12	1,851	1,863
Europe	0	75	75	0	1,102	1,102
Latin America	0	53	53	0	581	581
Middle East	—	2	2	—	17	17
Oceania	0	9	9	3	71	74
Other Europe	—	0	0	—	1	1
United States	111	151	262	289	3,773	4,062
Grand Total	125	478	603	350	7,935	8,286

Source: Morningstar Direct. Australian superannuation funds were classified as open-end in this exhibit. Zero values indicate figures greater than USD 1, but less than USD 1 billion. No values indicate no assets/flows for the indicated category and region.

Step 2: Determine the Right Asset Allocation

While there's no one-size-fits-approach to building an ideal asset allocation mix, staying informed on the latest trends can help investment teams make strategic decisions.

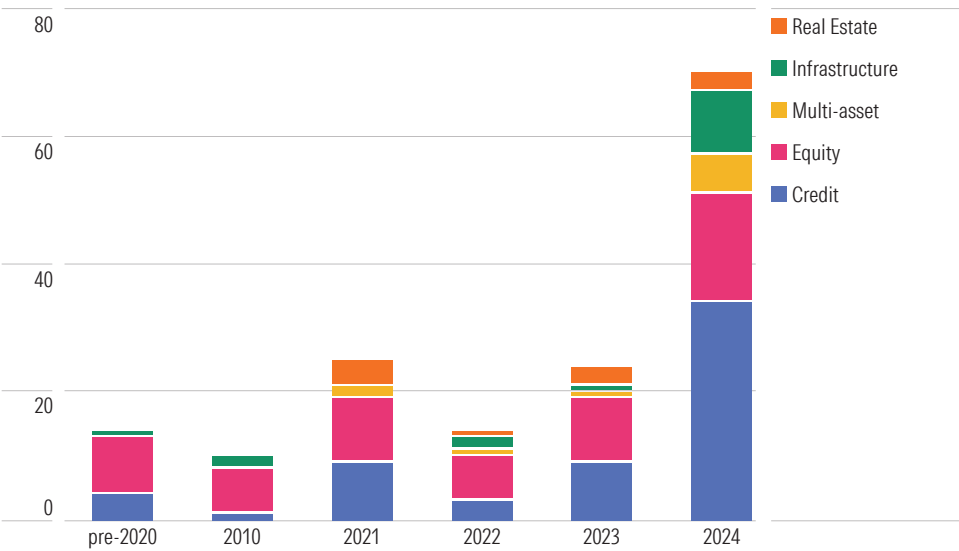
Market trends

Converging markets: The convergence of public and private markets is accelerating in 2025. Demand continues for semi-liquid fund structures like interval funds, business development companies, and real estate investment trusts—particularly in private credit.

European long-term investment funds (ELTIFs) are also rising in popularity, granting European investors access to strategies such as private equity, private credit, real estate, and infrastructure assets. By limiting withdrawals, these products can hold assets whose prospective return includes a significant illiquidity premium. Although private credit is currently the preferred sector, infrastructure funds and multi-asset strategies have recently started to gain traction while real estate remains a small niche within the ELTIF universe.

Private credit recently overtook private equity as the preferred sector for new ELTIF launches.

ELTIFs Launches Per Year by Target Asset Class



Source: Morningstar Direct, PitchBook, ESMA. Data as of January 27, 2025.

60/40 portfolio performance: The basic 60/40 portfolio—made up of US stocks and US investment-grade bonds—gained about 15% in 2024 and has been tough to beat over longer periods. The portfolio also improved risk-adjusted returns versus an all-stock benchmark in more than 83% of the rolling 10-year periods dating back to 1976.

Correlations: Correlations between the US and other developed markets around the world, including Europe, have remained high. Over the past 20 years, correlations versus an all-stock benchmark have edged up for several asset classes, including corporate bonds, global bonds, and Treasury Inflation-Protected Securities.

Specifically, European stocks have had the tightest correlation with US equities. The small subset of European stocks from markets classified as emerging have had the lowest correlation with the US market over the past three years, with correlations declining significantly in 2022 and falling further still in 2023 and 2024.

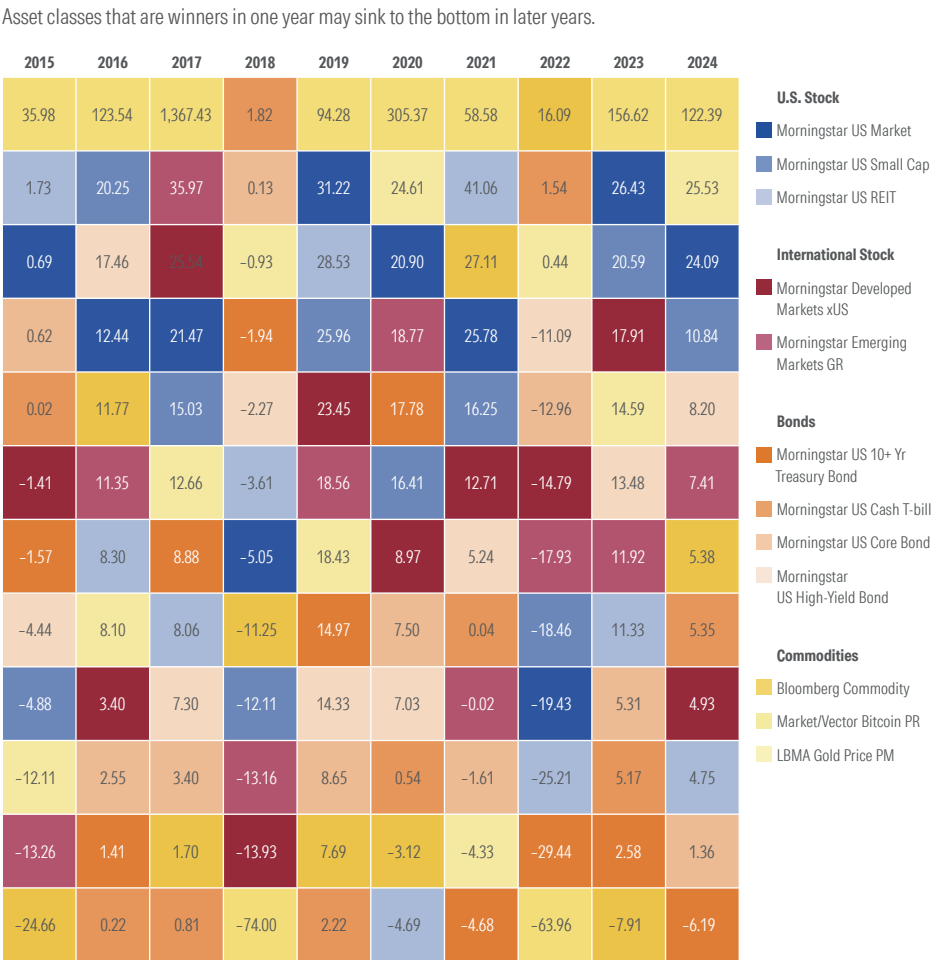
Most international stock benchmarks, especially those in developed markets like Europe, have been closely tied to the US market over the past three years.

	1	2	3	4	5	6	7	8	9	10	11
Morningstar US Market TR	1.00										
Morningstar APAC xJapan GR	0.65	1.00									
Morningstar DM Europe xUK GR	0.83	0.76	1.00								
Morningstar DM xUS GR	0.87	0.81	0.98	1.00							
Morningstar EM Americas GR	0.61	0.47	0.62	0.66	1.00						
Morningstar EM Europe GR	0.14	0.19	0.26	0.21	-0.19	1.00					
Morningstar EM GR	0.65	0.99	0.75	0.80	0.51	0.26	1.00				
Morningstar Global xUS GR	0.84	0.90	0.96	0.98	0.65	0.23	0.89	1.00			
Morningstar Japan GR	0.83	0.77	0.86	0.92	0.58	0.25	0.77	0.91	1.00		
Morningstar MEA GR	0.56	0.58	0.54	0.62	0.72	-0.15	0.61	0.64	0.52	1.00	
Morningstar UK GR	0.74	0.73	0.92	0.94	0.59	0.26	0.72	0.92	0.80	0.61	1.00

Source: Morningstar Direct. Data as of December 31, 2024.

Asset class insights

Holding a variety of asset classes may guard against being overly exposed to an area that falls out of favor. Even so, it's important to note that there's no way to truly predict which asset class will do well in any given year.



Source: Morningstar Direct. Data as of December 31, 2024. All indexes shown are Morningstar benchmarks based on total returns in US dollars unless otherwise noted.

Determine how much of a portfolio to invest in various asset classes with the help of Morningstar Direct's broad asset allocation capabilities. Investment teams can use charts, visuals, and tools throughout the application to determine asset allocation, performance, exposure, and more.

Global private markets grew to more than \$15.5 trillion in assets by June 2024.

Step 3: Implement Diversification

Diversification is a core principle of investing. A portfolio that features assets with different performance characteristics often leads to better risk-adjusted returns compared to one that relies on a single asset class.

This investment strategy across global markets paid off during the first quarter of 2025. A massive rally in European defense stocks led to the biggest shift in Germany, as the government cast aside decades of fiscal limits on defense spending—leading to the Morningstar Germany Index jumping 15.63% this year alone.

Stocks in China, the UK, Spain, Norway, Italy, and Ireland posted strong gains.

Q1 Global Markets Performance

 Morningstar China	14.17%
 Morningstar Eurozone	12.24%
 Morningstar UK	8.44%
 Morningstar Canada	1.62%
 Morningstar Japan	1.22%
 Morningstar US Large-Mid	-4.53%
 Morningstar US Market	-4.63%
 Morningstar US Small-Cap	-6.08%

Source: Morningstar Research. Data as of March 31, 2025.

Generally, stocks in developed markets—such as Europe, the UK, and Japan—have held up well. Heading into 2025, valuations on these stocks were significantly lower than those in the US, which gave them more room to rise as investors started considering the negative impact of tariffs on US economic growth. Currency movements also provided a tailwind, as the US dollar has depreciated against nearly every major foreign currency so far this year.

Here are three considerations to diversifying a portfolio:

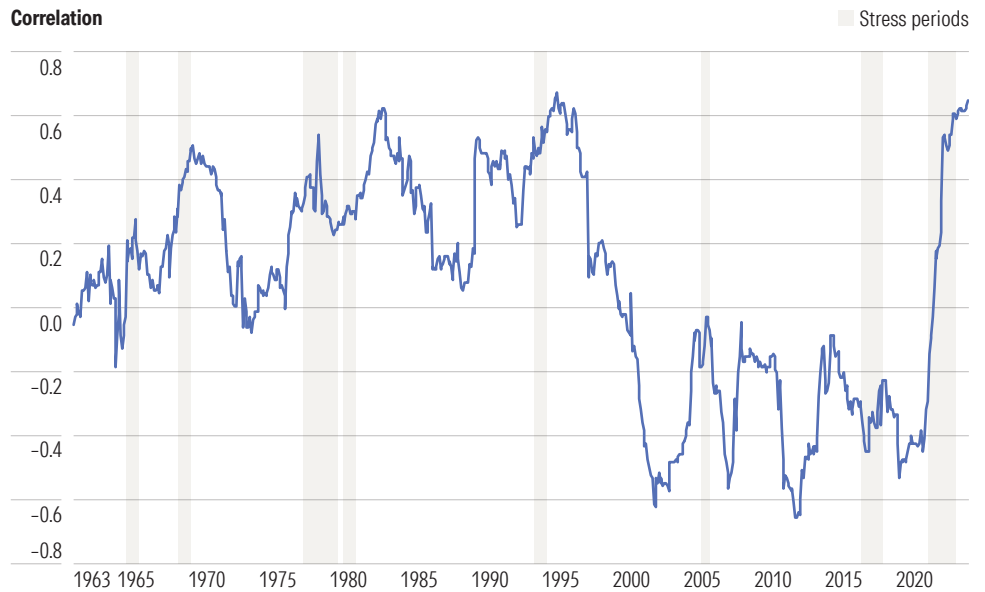
“Diversification doesn’t always lead to better returns. It’s more like an insurance policy and a way of reducing risk in portfolios.”

Amy C. Arnott, CFA, Morningstar Portfolio Strategist

Lower-quality bonds have generally been poor diversifiers for stocks.

Although rising interest rates lead to closer links between stocks and bonds, anticipating the magnitude of a rate rise and the length of time for the climb is difficult. Low-quality bonds often lose less than stocks in market downdrafts and may be best used as supplemental holdings or equity alternatives.

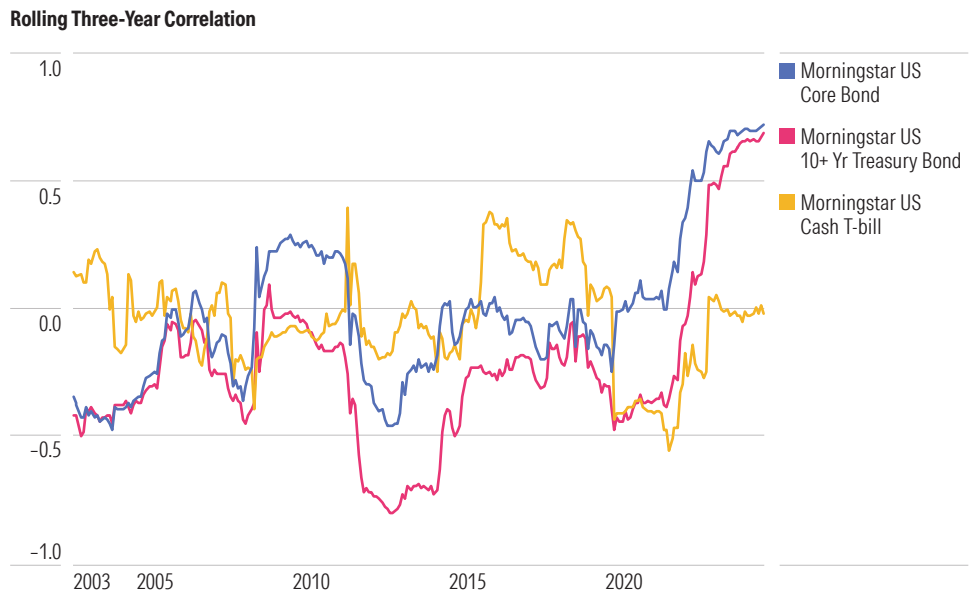
Correlations are dynamic and the relationship between US stocks and US bonds varies depending on context.



Cash has diversified portfolios better than Treasuries in recent years.

This discovery is especially evident as interest rates have trended up. A modest allocation of cash can also provide both safety and liquidity when stocks and bonds fall simultaneously.

Cash has stood out as a reliable diversifier amid rising interest rates in the US.

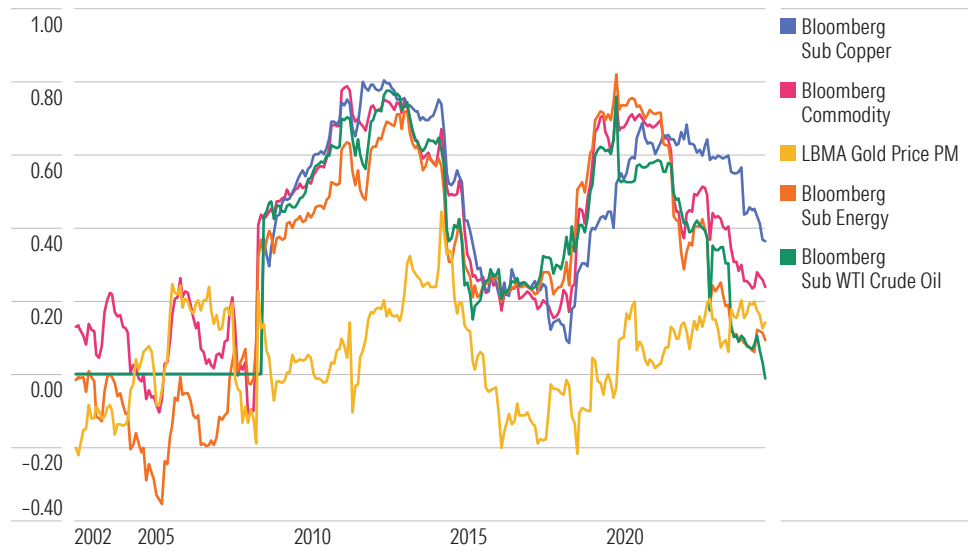


Commodities are often difficult to use effectively in a portfolio.

Given their low correlations with most other asset classes, commodities tend to stand out as portfolio diversifiers—particularly during bouts of extreme market stress. Notably, gold should continue to fill a valuable role as a buffer against equity market volatility. However, the wide range of returns for various commodities in any given year often makes them challenging to use successfully.

In contrast to correlation trends for most other asset classes, correlations for commodities have generally trended down in recent years.

Rolling Three-Year Correlation



Source: Morningstar Direct. Data as of December 31, 2024.

Step 4: Monitor and Rebalance Portfolios

Once a portfolio is constructed, it's essential to periodically adjust asset allocations given market fluctuations. The main reason for rebalancing is to attempt to control risk, not necessarily improve returns.

Still, it's possible for a rebalance to cause greater returns in certain scenarios. If two assets have identical long-term total returns, each investment will finish at the same level. Those relative standings must reverse, inevitably improving the portfolio's result. The greater the disparity between the assets' returns, the greater the rebalancing bonus as well. Let's say one investment rises by 5% while the other makes 3%—the amount of the rebalancing trade and its impact will be minuscule as there's little lost ground for the portfolio to recapture.

Other rebalancing best practices include concentrating initial efforts on tax-deferred accounts and looking at how stock allocations are split between US stocks and stocks from non-US markets.

Investment teams can benefit from a wide range of portfolio management capabilities in Morningstar Direct. Monitor the performance of custom-grouped investments to drive manager selection, for example, and build a scorecard with custom grades and a heatmap to communicate findings. Teams may discover new insights by creating customized interactive research that includes analytics, data visualizations, and research narratives.

A Portfolio Checklist

There's no single best way to build a robust portfolio. But we think that high-quality portfolios share a number of characteristics, including:

1. They invest in relatively cheap assets.
2. Their investments are subject to a range of fundamental, qualitative, and thematic return drivers.
3. They make use of low-cost sources of diversification with positive return potential.
4. Their returns come from a number of sources rather than just one or two markets.
5. The level of risk they take is consistent with the reward potential of the markets they invest in.
6. Their performance doesn't rely on low-probability macroeconomic scenarios.
7. The most extreme losses that they are likely to suffer are still within the investor's risk budget.

While we don't know how any security, fund, and asset class will perform on a given day or what market volatility may look like in the future, we believe that following these guidelines maximizes the chances of producing strong results over the long term.

Enhance Portfolio Management With Morningstar Direct

Investment teams need the right tools to demonstrate value and boost portfolio performance. Morningstar Direct's intuitive interface makes it easy to construct and analyze portfolios—all backed by independent research.

Our powerful application unifies portfolio capabilities in a single workspace, building the gateway to a new era of portfolio creation and management that's defined by unparalleled insights, rich customization, and efficiency.

In Morningstar Direct, investment teams can:

- ▶ Create, edit, and analyze investment portfolios.
- ▶ Stress-test portfolios across market and macroeconomic scenarios.
- ▶ Drill down into portfolio exposure, risk, and holdings data.
- ▶ Build meaningful reports to analyze asset class line-ups.
- ▶ Construct customized interactive research to explore deeper insights.
- ▶ Simplify and communicate findings with easy-to-grasp presentations and visualizations.

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